

Ambuja Cements

▶ EXISTING CAPACITY	79 mtpa
▶ TARGET	140 mtpa
▶ CAPEX OUTLAY	₹47,000 crore#
▶ PRESENCE	Pan-India
▶ REVENUE FOR FY24	₹34,326 crore
▶ NET PROFIT FOR FY24	₹4,738 crore
▶ STRATEGY	A presence in power and mining gives it access to fly ash and coal, which are key ingredients, apart from transporting cement by sea via ports. Presence in renewable power to help in better cost control

NOTE #TO INCREASE GRINDING CAPACITY BY 72.5 MTPA BY FY28



KARAN ADANI
DIRECTOR, AMBUJA CEMENTS*

*while announcing the Sanghi deal

“Sanghi’s plant has one billion tonnes of limestone reserves that will help in capacity expansion. Plus, there is a jetty and port, giving us a critical advantage to transport cement”

traTech Cement. Holcim had grown from 32 million tonnes per annum (mtpa) in 2005 to just 67 mtpa, while UltraTech had moved from 31 mtpa to 120 mtpa.

Since that 2022 Big Bang moment, Adani has invested money, made acquisitions, and set itself an ambitious target of having a capacity of 140 mtpa by 2028. UltraTech, the other big boy with a capacity of 155 mtpa, is not sitting idle. Kumar Mangalam Birla, Chairman of the Aditya Birla Group, told shareholders at the cement company’s annual general meeting last year that his target was 200 mtpa. UltraTech, he said, wanted to “reinforce its position as one of the largest cement companies in the world”.

Adani and UltraTech are expected to spend over ₹1 lakh crore on organic and inorganic expansion between them. But this race for capacity is only one part of the story. Both aim to keep out the competition. It is a battle for dominance.

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From 2004, for almost a decade, UltraTech was all about organic growth, barring the buyout of Jaypee’s Gujarat plant that gave it 4.8 mtpa. That script changed quite significantly soon after. Between 2016 and 2018, it acquired three assets—one more from Jaypee, followed by Century and Binani—giving it a stronger presence across regions and additional capacity of over 42 mtpa. A dormant Holcim made things easier for everyone in the business, including UltraTech. That phase also saw impressive growth from Shree Cement, which has reached 53.5 mtpa, and Dalmia Bharat, which has 45.6 mtpa. Shree Cement and Dalmia Bharat dominate the North and East, respectively.

Mangesh Bhadang, Senior VP of Centrum Broking, says UltraTech leveraged its balance sheet smartly to use it for strategic acquisitions. “Some of the assets bought were old, and money was put in where needed,” he explains. UltraTech’s “measured aggression” has continued, he adds, with the company accounting for a third of incremental national capacity